



SABLE HARBOR ADVISORY

Document ID: SH-ADV-MEM-20260908-001 **EXECUTIVE MEMORANDUM**

Date: September 8, 2026

Reference: SH-ADV-MEM-20260908-001

Subject: Operating architecture for an AI-native professional-services business

This memorandum is the executive presentation of the controlled Advisory operating model. The controlling decision record is [SH-ADV-ATL-DR-001](#). The visual letterhead rendering is [SABLE_HARBOR_ADVISORY_EXECUTIVE_BRIEF_2026-09-08.svg](#).

Executive conclusion

Sable Harbor Advisory should not be built as a conventional consulting firm with AI added to an existing leverage pyramid. It should be built around the assumption that routine analytical production is abundant, while judgment, operating experience, institutional trust, intervention capability and transferable machine systems are scarce.

The resulting business has five defining characteristics.

First, the matter—not the billable hour—is the unit of production. A client brings Sable Harbor a consequential problem. Advisory forms a problem-specific team, establishes what is actually happening, intervenes within accepted authority, measures the result, transfers enduring capability and exits cleanly.

Second, three practices draw from one professional bench. Intelligence Advisory determines what is happening and what should be believed. Intelligence Capability helps a client build a durable intelligence institution of its own. Operational Excellence applies Sable Harbor's hard operating experience to logistics, mining, recovery, maintenance, reclamation, industrial systems and other physical operations without transferring Sable Harbor's protected technical IP.

Third, Atlas Meridian is the operating system of the professional relationship. It is both a commercial product and the professional workbench used by Advisory. It handles secure evidence intake, matter records, collaboration, provenance, value measurement, agent orchestration and capability transfer. The Atlas team is a product-development organization, not an advisory staffing pool.

Fourth, AI-native work must leave the client with more than a report. Where Advisory automates a workflow, the engagement should be able to hand over a hardened client-owned derivative: agents, workflows, tests, runbooks, client-specific memory and controls inside the client's Atlas environment. Sable Harbor's proprietary professional plane, cross-client learning, internal J2 records and protected methods remain Sable Harbor property.

Fifth, economics should reward verified value rather than labor consumption. Core Advisory matters are priced around a matter-value or capability-acceptance model. The working measurable-value default is a target fee against verified addressable value, split approximately 60% committed / 40% outcome-variable, with the variable component independently certified by an Advisory Value Office. Atlas licensing is separate from matter fees.

Institutional design

Advisory is adjacent to J2 but not inside it. J2 serves Sable Harbor; Advisory serves clients. Advisory may recruit aggressively from operating business lines and externally. It may not recruit, court, pre-negotiate with or open an application for a serving J2 professional. Former J2 professionals may approach Advisory on their own once qualifying service is complete.

Carry is reserved to qualifying former J2 professionals. It is intended to create an exceptional long-duration economic career without making J2 a feeder organization or requiring professional people to pursue line management for

wealth.

The currently locked carry gates are:

- **Orientation:** full Orientation tour/commission plus one qualifying fellowship;
- **Judgment:** at least five years as a Judgment Officer plus at least two years in an actual operating business line;
- **Contact:** at least four years in substantive Contact leadership with genuine accountability for people and collection outcomes;
- **Education / J2 Headquarters:** open pending a later decision.

A former Orientation Officer may become a highly paid senior Advisory professional and hold carry, but the permanent Orientation prohibition on later C-suite, operating-VP or equivalent line authority remains intact.

Governance

Each matter has one Matter Principal with non-delegable responsibility for the client promise and one Acceptance Principal who confirms competence, conflicts, authority, economics, data posture and the absence of a purchased conclusion.

Consequential matters receive independent professional review. Outcome-priced matters are measured by a Value Office separate from the delivery team. Legal, Finance, Security, Risk/Controls and other enterprise functions retain stop or veto rights within their established domains; they do not become a standing taste-based consulting committee.

The governing principle is simple:

**The client can buy Sable Harbor's effort, judgment, intervention and agreed outcome economics.
It cannot buy the answer.**

Commercial model

For measurable transformation matters, the working rate discipline is:

Verified addressable value	Target fee as % of value
Under \$5M	10–15%
\$5M–\$25M	7–12%
\$25M–\$100M	4–8%
\$100M–\$500M	2–4%
Above \$500M	0.5–2.0%

The initial working professional-matter minimum is \$150,000, excluding Atlas licensing and approved pass-through costs. Capability matters use fixed economics plus objective acceptance milestones. Decision matters use fixed pricing where contingent economics would compromise independence. Managed continuity is explicit rather than disguised dependence after a promised transfer.

Strategic consequence

This architecture deliberately removes the economic logic that historically rewarded professional-services firms for adding people, hours and layers to client problems. The firm instead benefits when Atlas Meridian and its professionals can solve a larger problem with a smaller, more experienced team and leave behind a system the client can actually use.

That creates a different competitive flywheel:

hard client problem → Sable Harbor intervention → client-safe transferred capability → generalized Atlas product improvement → more capable client → harder problem → higher-value Advisory work.

The desired client reaction at the end of a matter is not, “We need these consultants forever.” It is:

“We can now do something we could not do before, we understand why it works, and we know when the next problem is hard enough to call Sable Harbor again.”

Controlled references: SH-ADV-001, SH-ADV-002, SH-ADV-003, SH-ATL-016, SH-ADV-ATL-DR-001

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